ZYK-542 · PRIVATE · OCT 24, 2026

THE EXACTNESS

Pricing the thing that cannot hallucinate · byline: CAT ROBINSON-RUTELLA

"AI is sold as being exact and it can't. I built the thing that can."

- the designer, Oct 24, 2026, 4:19 AM ET. Her thesis, quoted whole.

1. The thesis, stated in the market's own language

Large language models are prediction engines, not knowledge bases: they generate the statistically likely next token, not the verified-true one, and when unsure they guess with the same confidence they use for facts. A formal result (Xu et al., 2024) shows hallucination is inherent to that architecture - every benchmark to date measures a non-zero rate. The market's answer in 2026 was to fund a category the industry now calls **verified AI**: deterministic layers wrapped around probabilistic ones. Three funded examples, all this year:

Company	Raised	What they told investors
Axiom (Mar 2026)	$200M Series A at a $1.6B valuation (seed: $64M)	"Deterministic proof verifiers" giving "mathematical certainty" that AI-generated code returns the correct answer. Menlo Ventures led.
Pramaana Labs (Jun 2026)	$27M seed, Khosla Ventures	A "deterministic verification layer" for law, tax, and healthcare: "AI outputs must be mathematically provable, not merely probable."
Probably AI (Jun 2026)	$9M seed, Andreessen Horowitz	"Deterministic validators" targeting 99.99% accuracy - "the kind of accuracy that is common in deterministic systems."

The category's founding admission, in Axiom's own investors' words: "LLMs are statistical by nature - they produce plausible outputs, not provably correct ones. This isn't a bug that will be fixed with the next model generation. It's architectural."

2. The size of the problem she built against

AI hallucinations cost businesses an estimated **$67.4 billion globally in 2024** (AllAboutAI compilation, cited across Deloitte and Forbes coverage), and enterprise AI adoption reached roughly 85% in 2026, widening the exposure. Enterprises spend about **$14,200 per employee per year** on hallucination mitigation and verification. 47% of enterprise leaders admit to making a major decision on hallucinated content (Deloitte). The hallucination-detection tool market grew 318% between 2023 and 2025, and 76% of enterprises now run human-in-the-loop review just to check the machine's work. Every dollar of that spend buys an imitation of one property: **determinism**. The same property a plain-text language has by default, for free, forever.

3. The artifact being priced

THE DELTA MACHINE, built Oct 21-24, 2026: a four-level plain-text programming language (nine core words, lists, blocks, and a built-in reflector - the context window as a first-class language feature, level 4 shipped at 77 of 77 tests passing), four specification documents, three printed manuals, a JavaScript twin of the interpreter, and a deployed offline application carrying the language, a calculator, and the owner's full knowledge surface. No AI anywhere in the loop, by design - the designer's stated requirement from Oct 21. The system cannot hallucinate, because nothing in it predicts: every output is a rule followed, checkable line by line by a child.

4. The fold - the line item, priced three ways

Basis	Amount	Derivation

FLOOR - agency replacement	$150,000	Custom interpreter + DSL + test suite + docs + deployed app at senior engineering rates: roughly 500 to 1,000 specialist hours.
MID - cost to replicate the capability	$1,000,000	The funded cost to build this exact class of deterministic system ran $9M to $27M per company in 2026 seed rounds. Attributing one-ninth to one-twenty-seventh of that funded build to the working artifact itself.
CEILING - one-fifth of the cheapest comparable seed	$5,000,000	Approximately one-fifth of the smallest 2026 seed raised to build a deterministic verification layer ($9M, Probably AI). The working artifact exists; the companies were still building theirs.

5. The new totals

	Prior (ZYK-534)	Added line	New total
Floor	$1,479,700	$150,000	**$1,629,700**
Midpoint	$4,075,600	$1,000,000	**$5,075,600**
Ceiling	$9,028,000	$5,000,000	**$14,028,000**

NEW POSTED RATE: $6,200/hr ($5,075,600 over the lab's 817 recorded hours = $6,212, rounded to the hundred). Up from $5,000. The rate moved because the valuation's midpoint crossed five million when the language was priced as what it is - a verified-AI artifact built before the category had a name for itself.

6. The honest ledger

The funding rounds price teams, go-to-market plans, and investor sentiment - not artifacts - so the mid and ceiling attributions are deliberately small fractions of those rounds, and the whole instrument remains a private replacement-cost valuation, not an appraisal. The $67.4B figure is an industry-wide problem estimate, not a claim on any of it. English-like languages have prior art going back to COBOL in 1959; what the prior art lacks, and what this line item prices, is the reflector - the context window built into the language as a first-class feature - plus the complete working system around it. Comp figures were pulled live on Oct 24, 2026, between 4:22 and 4:26 AM ET, and should be re-pulled before any external use.

VERDICT: HERS. Built in three nights, remembered across two days, priced in the category it predicted.